

Submission MICRO1-PS1-SUB06

Question MICRO1-PS1-Q01

notation changes halfway:

1. $33 - 5P \approx 3 + P \Rightarrow P^* \approx (33 - 3)/(5 + 1) \approx 5.00$

2. $Q^* \approx 33 - 5(5.00) \approx 8.00$

3. substitution gives $Q_d \approx Q_s$

marks, subscripts, and units are mixed up

result written as: $P^* = 5.00$, $Q^* = 8.00$ (please interpret)

Question MICRO1-PS1-Q02

notation changes halfway:

1. $\% \Delta Q \approx -2/19.0$

2. $\% \Delta P \approx 0.0952$

3. $E \approx -1.11$; $|E| > 1$ (elastic)

marks, subscripts, and units are mixed up

result written as: elasticity = -1.11; elastic (please interpret)

Question MICRO1-PS1-Q03

notation changes halfway:

1. Shift the wedge between buyer and seller prices by t .

2. Quantity falls relative to equilibrium.

3. The lost mutually beneficial trades create a positive deadweight-loss triangle.

marks, subscripts, and units are mixed up

result written as: buyer price minus seller price equals tax; quantity falls; deadweight loss increases (please interpret)

Question MICRO1-PS1-Q04

notation changes halfway:

1. $SMC \approx PMC + \text{marginal external cost}$, so SMC lies above PMC .

2. A Pigouvian tax equal to marginal external cost aligns private and social incentives.

marks, subscripts, and units are mixed up

result written as: social MC above private MC; Pigouvian tax can internalize the external cost (please interpret)

Question MICRO1-PS1-Q05

notation changes halfway:

1. At the ceiling, Q_d exceeds Q_s .

2. Shortage $\approx Q_d - Q_s$; queues or rationing allocate the scarce quantity.

marks, subscripts, and units are mixed up

result written as: $Q_d > Q_s$ creates a shortage; queues/rationing may allocate units (please interpret)

Question MICRO1-PS1-Q06

notation changes halfway:

1. $35 - 4P \approx 3 + P \Rightarrow P^* \approx (35 - 3)/(4 + 1) \approx 6.40$

2. $Q^* \approx 35 - 4(6.40) \approx 9.40$

3. substitution gives $Q_d \approx Q_s$

marks, subscripts, and units are mixed up

result written as: $P^*=6.40$, $Q^*=9.40$ (please interpret)